

Rating Rationale

July 02, 2026 | Mumbai

OBSC Perfection Limited

'Crisil BBB+ / Stable' assigned to Bank Debt

Rating Action

Total Bank Loan Facilities Rated	Rs.100 Crore	Regulator Of Instrument
Long Term Rating	Crisil BBB+/Stable (Assigned)	RBI

Note: None of the Directors on Crisil Ratings Limited's Board are members of rating committee and thus do not participate in discussion or assignment of any ratings. The Board of Directors also does not discuss any ratings at its meetings.

1 crore = 10 million

Refer to Annexure for Details of Instruments & Bank Facilities

Detailed rationale

Crisil Ratings has assigned its '**Crisil BBB+/Stable**' rating to the long-term bank facilities of OBSC Perfection Limited (OBSCPL).

The rating reflects the extensive experience of the promoters of OBSCPL, diversified product profile & healthy orderbook and the comfortable financial risk profile of the company. These strengths are partially offset by exposure to cyclicalities in the end user industries, working capital intensive operations and moderate scale & customer concentration.

Analytical approach

Crisil Ratings has evaluated the standalone business and financial risk profiles of OBSCPL.

Unsecured loans from group company and directors of Rs 15.45 crore as on 31st March 2026 has been treated as debt since same is expected to be repaid over long term.

Key rating drivers - Strengths

Extensive experience of the promoters: The promoters experience of nearly a decade in the auto components and ancillary industry has helped establish strong relationships with customers leading to repeat orders. The company has an established customer base and has added clients across various industries in both domestic and overseas markets. This has led to revenue growth to Rs 220 crore in fiscal 2026 from Rs.115 crore in fiscal 2024. Revenue is further expected to increase over the medium term driven by healthy demand, continuous addition of new SKUs, customers and increase in manufacturing capacity.

Diversified product profile and healthy order book: The company offers a diverse range products such as spline shafts, piston rods, drive shafts, steering shafts and ignition primers comprising of an extensive portfolio of around 100+ SKUs catering to varied automotive, defense, marine, and telecommunication industries. Currently the company has outstanding orders of Rs 1200 crore as on March 31, 2026, to be executed over the next 5-6 fiscals, which provide revenue visibility.

Comfortable financial risk profile: The company's capital structure remained healthy, as reflected in gearing of 0.4 time and low total outside liabilities to adjusted networth (TOLANW) ratio of 0.72 time as on March 31, 2026. Debt protection metrics have been comfortable due to low leverage and healthy profitability. The interest coverage and net cash accrual to adjusted debt (NCADD) ratios were 9.72 times and 0.47 time, respectively, in fiscal 2026. Debt protection metrics are expected to remain at a similar level over the medium term. Financial risk profile is expected to remain comfortable over the medium term in the absence of any major debt-funded capital expenditure (capex).

Key rating drivers - Weaknesses

Exposure to cyclicalities in end-user industries: The demand for OBSCPL products is correlated with the end-user industries i.e automotive, industrial development, defense, marine, and telecommunication industries. The performance of these industries are driven by factors such as economic policies, demand and supply situation, prices of raw materials. Any downturn in any of the application industries or macro-economic conditions impacting the application industries will impact the company topline and its profitability. However, over the years the company has been continuously diversifying its products and improving its application industries.

Working capital intensive operations: Gross current assets (GCAs) remained elevated at 133-223 days over the three fiscals ended March 31, 2026, reflecting the company's working capital intensive operations. GCAs stood at 223 days as on March 31, 2026, driven by high receivables and inventory levels. The company is required to extend relatively long credit periods to its export customers, leading to elevated debtor levels. Additionally, the nature of operations necessitates maintaining sizeable work-in-process and inventory levels. With export sales expected to be higher over the medium term the working capital requirement is expected to increase. The ability to manage working capital efficiently over the medium term with limited reliance on external borrowings and maintenance of adequate liquidity will be monitorable.

Moderate scale and customer concentration: The company generates 50–55% of its revenue from its top five customers, with the largest customer contributing 15–20%. While OBSCPL remains a key supplier to these customers, any adverse change in their demand patterns or vendor selection policies could impact the company's business risk profile and will remain a key monitorable over the medium term. Additionally, despite improvement in the last few fiscals, the company's scale of operations remains modest. Sustained growth in scale will be critical and will remain monitorable.

Liquidity Adequate

Bank limit fund-based utilisation averaged at 64% for the 11 months through April 2026 with peak utilisation touching 95% in February 2026, recent enhancements is expected to aid liquidity. Expected cash accrual of more than Rs 37 crore per fiscal, should suffice to cover the debt obligation of Rs 8–12 crore over the medium term. Current ratio stood healthy at 1.60 times as on March 31, 2026 and cash and cash equivalents were moderate at Rs. 0.07 crores as on March 31, 2026. Crisil Ratings expects internal accruals, cash & cash equivalents and unutilized bank lines to be sufficient to meet its repayment obligations and incremental working capital requirements over the medium term.

Outlook Stable

Crisil Ratings believes OBSCPL will continue to benefit from the extensive experience of its promoters and their established relationships with clients.

Rating sensitivity factors

Upward factors

- Sustained growth in revenue by more than 40% and sustenance of operating margin over 18%, leading to higher net cash accruals.
- Improvement in working capital management with GCAs below 210 days along with sustenance of financial risk profile

Downward factors

- Decline in revenue or profitability, leading to net cash accrual of less than Rs 25 crore
- Large debt-funded capex or a substantial increase in working capital requirement, weakening the capital structure and liquidity.

About the company

OBSCPL, incorporated in 2017, manufactures precision steel and metal components for automotive, defense, marine, and telecommunication industries. The manufacturing facilities are in Pune, Chennai and Faridabad. Operations are managed by Saksham Leekha.

The company is listed on the National Stock Exchange's small and medium enterprises platform.

Key financial indicators - Crisil Ratings adjusted numbers

As on / for the period ended March 31		2026	2025
Operating income	Rs crore	220.58	143.69
Reported profit after tax (PAT)	Rs crore	27.01	16.76
PAT margin	%	12.24	11.66
Adjusted debt/adjusted networkth	Times	0.40	0.26
Interest coverage	Times	9.72	8.91

Any other information: Not applicable

Note on complexity levels of the rated instrument:

Crisil Ratings' complexity levels are assigned to various types of financial instruments and are included (where applicable) in the 'Annexure - Details of Instrument' in this Rating Rationale.

Crisil Ratings will disclose complexity level for all securities - including those that are yet to be placed - based on available information. The complexity level for instruments may be updated, where required, in the rating rationale published subsequent to the issuance of the instrument when details on such features are available.

For more details on the Crisil Ratings' complexity levels please visit www.crisilratings.com. Users may also call the Customer Service Helpdesk with queries on specific instruments.

Please note:

More details including a list of activities or instruments, along with the names of respective financial sector regulators

(FSRs) whose purview they fall under, is available in 'Annexure – List of Instruments and Names of Regulators' below.

Annexure - Details of Instrument(s)

ISIN	Name Of Instrument	Date Of Allotment	Coupon Rate (%)	Maturity Date	Issue Size (Rs. Crore)	Complexity Levels	Rating Outstanding with Outlook	Regulator Of Instrument
NA	Cash Credit	NA	NA	NA	45.25	NA	Crisil BBB+/Stable	RBI
NA	Proposed Fund-Based Bank Limits	NA	NA	NA	21.67	NA	Crisil BBB+/Stable	RBI
NA	Term Loan	NA	NA	03-Jun-31	23.08	NA	Crisil BBB+/Stable	RBI
NA	Term Loan	NA	NA	31-May-30	10.00	NA	Crisil BBB+/Stable	RBI

Annexure - Rating History for last 3 Years

		Current		2026 (History)		2025		2024		2023		Start of 2023
Instrument	Type	Outstanding Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating	Rating
Fund Based Facilities	LT	100.0	Crisil BBB+/Stable		--		--		--		--	--

All amounts are in Rs. Cr.

Annexure - Details of Bank Lenders & Facilities

Facility	Amount (Rs.Crore)	Name of Lender	Rating
Cash Credit	29.25	Kotak Mahindra Bank Limited	Crisil BBB+/Stable
Cash Credit	16	Axis Bank Limited	Crisil BBB+/Stable
Proposed Fund-Based Bank Limits	21.67	Not Applicable	Crisil BBB+/Stable
Term Loan	23.08	Kotak Mahindra Bank Limited	Crisil BBB+/Stable
Term Loan	10	Axis Bank Limited	Crisil BBB+/Stable

Annexure: List of instruments and names of regulators of the instruments

As required by SEBI CRA Circular dated Feb 10, 2026, a list of activities or instruments falling under the purview of various FSRs, along with the names of respective FSRs, is being disclosed below:

A. Rating activities

Sr. No.	Instrument / activity Name	Regulator of the instruments
1	Listed/Proposed to be listed bonds/debentures/preference share (all securities)	SEBI
2	Unlisted/Proposed to be unlisted Bonds/Debentures/ Preference share (all securities)	MCA
3	Listed PTCs / Securitisation Notes (originated by entities regulated by RBI)*	SEBI
4	Listed PTCs / Securitisation Notes (originated by entities not regulated by RBI)*	SEBI
5	Unlisted PTCs / Securitisation Notes (originated by entities regulated by RBI)*	RBI
6	Listed Commercial Paper and NCDs with original maturity less than 1 year	RBI
7	Unlisted Commercial Paper and NCDs with original maturity less than 1 year	RBI
8	Loan Facilities (Fund/Non-Fund Based) from Bank/NBFCs/NHB/FIs ^	RBI
9	External Commercial Borrowings and other similar borrowings	RBI
10	Certificates of Deposit	RBI
11	Fixed Deposits raised by NBFC's, Banks, HFCs, Fis	RBI

12	Fixed Deposits raised by corporates other than NBFCs, Banks, HFCs, FIs	MCA
13	Inter Corporate Deposits/Loans extended by Corporates	MCA
14	Borrowing programme ~	-
15	Issuer Ratings #	-
16	Credit Ratings for Capital Protection Oriented Schemes (by Mutual Funds and AIFs)	SEBI
17	Credit quality ratings (CQRs) for Mutual Fund Schemes and Schemes of AIFs	SEBI
18	Listed Security Receipts	SEBI
19	Unlisted Security Receipts	RBI
20	Independent Credit Evaluation (ICE)	RBI
21	Expected Loss Ratings (for Loan Facilities (Fund/Non-Fund Based) from Bank/NBFCs/NHB/Fis)	RBI
22	Expected Loss Ratings (Listed/Proposed to be listed bonds/debentures/preference share (all securities))	SEBI
23	Expected Loss Ratings (Unlisted/Proposed to be unlisted Bonds/Debentures/Preference share (all securities))	MCA
24	Unlisted PTCs / Securitisation Notes (originated by entities not regulated by RBI) *	Investor-side regulator such as IRDAI, PFRDA @

* Includes securitisation transactions involving assignee payout, acquirer's payout.

~ The rated instrument may involve issuance of different instruments such as debt securities (listed or otherwise), bank loans, commercial paper (listed or otherwise), etc. The regulator of the instrument may accordingly be SEBI, RBI or MCA and can only be determined upon issuance. In PRs subsequent to issuance(s), Crisil Ratings Limited shall separately capture the rated quantum details along with names of respective regulators.

^ Includes bank facilities such as liquidity facility, second loss facility that are part of securitisation transactions.

There is no instrument being rated and hence, Regulator of the Instrument is not applicable. The rating scale and definitions are being followed as stipulated in SEBI Master Circular for CRAs.

@ These ratings were assigned during regulatory regime prior to introduction of SEBI CRA Circular dated Feb 10, 2026 and the investor side regulators have accordingly been included.

Note: Kindly note that for activities or instruments falling under the purview of FSRs other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Criteria Details

Links to related criteria

[Basics of Ratings \(including default recognition, assessing information adequacy\)](#)

[Criteria for manufacturing, trading and corporate services sector \(including approach for financial ratios\)](#)

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